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Boutique Condo Capital Is Betting on Scarcity, Not Scale

A three-unit Flatiron townhouse with a \$20M sellout. The signal? Development capital is chasing turnkey luxury for the wealthiest buyers.

THE NEWS

Buttonwood and Wheelhouse Plan a Three-Unit Flatiron Townhouse

Heiberger and Lev are developing a boutique condo at 42 West 22nd Street. Three units. \$20 million projected sellout. Small project, big signal.

SIGNIFICANCE

Why a Three-Unit Deal Matters to the Whole Market

This isn't a large project. That's the point. It shows where development capital is flowing: into scarcity, bespoke finishes, and wealthy buyers who want turnkey luxury without the wait.

Development Capital Is Following Demand, Not Hype

The simple version: lenders and equity partners are backing projects with clear exit paths. A three-unit townhouse has a defined buyer pool. That's less risky than a 50-unit tower in a softening market.

THE REAL QUESTION

How Do You Finance a \$20M Boutique Project?

Construction loans for small luxury projects require strong sponsor equity, pre-sales, or both. The capital stack is thinner. But for the right team in the right location, the math works.

WHO CARES?

Three Parties Watching This Deal Closely

- * Sponsors: Testing whether boutique luxury still attracts premium pricing.
- * Lenders: Evaluating construction risk on small, high-dollar projects.
- * Wealthy buyers: Looking for turnkey options in prime NYC neighborhoods.

MARKET CONTEXT

This Deal Is Part of a Larger Pattern

Across NYC, development capital is shifting from large-scale condos to smaller, higher-quality projects. The logic: scarcity commands a premium. And wealthy buyers are still active.

What to Watch Next

- * Pre-sale velocity: How quickly do the three units go under contract?
- * Pricing per square foot: Does it exceed comparable new development?
- * Follow-on deals: Will other sponsors replicate this model?

THE LESSON

In Today's Market, Smaller Can Be Smarter

Boutique development capital isn't about building less. It's about building what the market actually wants. Light Tower Group helps sponsors and lenders navigate these capital strategy decisions. Connect with Benjamin Rohr.